

WHERE THE MONEY FLOWS

Raising funds to mitigate the adverse effects of climate change is crucial for developing countries. Back in 2009, at the 15th Conference of Parties (COP15), developed countries agreed to mobilise \$100 billion per year by 2020 for developing countries. While there has been some progress, actual contributions have consistently fallen short of the target, leading to ongoing discussions and negotiations to bridge the gap and fulfil this pledge. Additionally, a Loss and Damage Fund was established at COP27 in Egypt in 2022 to assist vulnerable countries.

India cannot rely just on these funds. It needs to proactively seek investments from both domestic and international sources by leveraging public funds, private equity, green bonds, and international climate finance mechanisms. For instance, in 2023, the World Bank approved \$1.5 billion to finance India's low-carbon transition, and the International Finance Corporation (IFC) has plans to increase its investments in India to over \$4 billion this fiscal.

Multilateral development banks (MDBs) play a pivotal role in financing climate change initiatives. "India needs to crowd in all forms of capital—international grants, green bonds, private investments etc. Deepening partnerships with MDBs is crucial," says Gupta.

For greater support from MDBs, India needs to ensure that project proposals are robust, scalable, and well-aligned with both national priorities and with the strategic goals of these banks.

Public-private partnerships can also be instrumental as they effectively distribute risk and reward, making large-scale climate projects more feasible and attractive to private investors.

Gupta cites India-headquartered multilateral agencies such as the International Solar Alliance (ISA) and the Coalition for Disaster Resilient Infrastructure (CDRI) as important relationships between governments and the private sector.

Other than international sources, India will have to further scale domestic resources. Per CPI's assessment, domestic sources continue to account for the majority of green finance, at 87% and 83% in FY19 and FY20, respectively. "Domestically, the private sector contributed about 59% or \$22 billion. During 2016-17 and 2017-18, domestic private investors contributed the largest share of \$19 billion through debt and equity, respectively. In 2019-20, tracked green finance was \$44 billion per annum, approximately a fourth of India's needs," adds Sen.

Whether it is participation in EVs or hydrogen as a fuel—India Inc.'s involvement has been apparent. "Now, policymaking is needed, with climate resilience and mitigation in focus. Several sub-sectors need to have policies which extensively focus on private-sector participation, not just for accessing funds, but also for providing implementation expertise," says Sameer Jain, MD of consultancy Primus Partners.

By harnessing the potential of the private sector, issues relating to investment in transition projects, fostering a sustainable finance ecosystem, and diversifying funding sources can be ironed out.

A multi-tiered approach towards decarbonisation and financing strategies should be adopted. "While energy transition will continue to be a priority, other areas such as material circularity, carbon-capture usage and storage, etc., can be accelerators of green transition," says Namrata Rana, Partner and National Head—ESG, at advisory KPMG in India. "A technology-first and sustainability-ready digital infrastructure is needed," she adds.

A concerted effort from the government, private sector, and civil society stakeholders, as well as significant investments in transformative technologies and infrastructure will not just help prevent GDP loss, but can present India with more employment opportunities. **BT**

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BIG NUMBERS



\$1.5 trillion

or annually around \$250 billion needed by 2030 for India's climate mitigation and adaptation goal



\$10-15 trillion

required by India in climate finance to reach net zero by 2070



\$8 trillion

needed to significantly scale generation of renewable energy and associated integration, distribution, and transmission infrastructure



\$1.5 trillion

would have to be invested in the industrial sector to set up green hydrogen production capacity

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